

JARED KUSHNER & STEVE WITKOFF IN DOHA TO SAVE PEACE MoU

Qatar: No high level US-Iran dialogue, only technical talks

White House said Trump envoys will hold key meetings, but no sign so far

Reuters
Doha, June 30

TOP US envoys who have arrived in Doha will not hold a high-level meeting with Iran, a Qatari official said on Tuesday, casting doubt on the progress of efforts to bring a lasting halt to the Iran war and fully reopen the Strait of Hormuz.

Instead, there will be technical talks this week on issues including regional security that could later be elevated to senior level, Qatar's Foreign Ministry spokesperson Majed Al Ansari told a media briefing.

The arrival of US President Donald Trump's son-in-law Jared Kushner and envoy Steve Witkoff in Doha on Tuesday followed exchanges of fire over the weekend that tested the June 17 interim accord between the United States and Iran. The 14-point pact allowed 60 days for the two sides to negotiate a permanent truce in the conflict, which began with US and Israeli strikes on Iran on February 28, and to resolve thorny issues including the future of Iran's nuclear programme.

The conflict disrupted global trade in oil and other goods, exposed Gulf states to Iranian drone and missile fire and killed thousands of people, mostly in Iran and Lebanon.

Iranian Foreign Ministry spokesperson Esmail Baghaei said dialogue with mediator Qatar on the implementation of the interim deal, including



People walk past a billboard depicting Iran's late Supreme Leader Ayatollah Ali Khamenei embracing late senior Iranian military commander General Qassem Soleimani, in Tehran on Tuesday. REUTERS

on the release of frozen Iranian assets, was likely to take place in Doha on Wednesday.

"No meeting at any level with the American side has been scheduled for the coming days," he said. The White House had said on Monday that Kushner and Witkoff would hold "high-level meetings", with technical discussions to continue on the sidelines.

The exact timing of the technical talks was not immediately clear.

"We have a track on the nuclear side, you have a track on the economic and state performance issue, you have a track on security and the regional security," said Ansari.

Iran has since sought to exert control over the strait alongside

Oman, which lies across the waterway, saying it plans to charge fees to ships and obstructing vessels that stray outside defined paths. Baghaei said on Tuesday that Tehran would "do whatever is necessary to safeguard its interests" over the strait.

Since last Thursday, the US has accused Iran of hitting at least two commercial ships with missiles or drones, and it bombed Iranian military facilities in response.

Iran in turn launched missiles and drones at US military sites in Kuwait and Bahrain on Sunday, with both sides accusing each other of breaking the ceasefire. Trump and Treasury Secretary Scott Bessent are both urging gasoline retailers to lower prices.

INDIAN EXPRESS UPSC IAS EDITION HD 01~07~2026

:-FOR UPSC IAS ASPIRANTS:-

"AVOID POLITICAL & IRRELEVANT ARTICLES"

Please Try To Read This Completely in 40 Minutes If You

Can't So Then You Have To Increase Your Efforts

All the topics of this UPSC IAS Edition are directly or

indirectly important for the prelims & main examination.

There are some topics which can be coded in answer writing of other topics in the main exam.

● HOW THE MORE THAN FOUR-YEAR-OLD CONFLICT IS RESHAPING NATURAL ENVIRONMENT

Bird nests of fibre-optic cables show war's impact on Ukraine

Reuters
Kyiv, June 30

WOVEN FROM fibre-optic cable and grass, a small bird's nest found near the front line of the war in Ukraine shows how the more than four-year-old conflict is reshaping the natural environment, researchers say.

Areas along the 1,200-km (746-mile) front line are covered with ultra-thin fibre-optic cables, which are used by Ukrainian and Russian troops to guide aerial attack drones to make them impervious to electronic jamming.

The cables, which can stretch for 20 km, lie tangled in trees and scattered across fields

and on the rooftops of towns in Ukraine's frontline regions, glistening in the sunlight like giant spider web.

Birds have begun repurposing the discarded cables to weave their nests, says Yana Hrynko, a senior researcher at Kyiv's War Museum, cautiously examining two delicate nests which the armed forces sent to the museum from the front line.

"Objects such as bird nests with fragments of optic fibre demonstrate the change in the nature of war," said Hrynko.

Russia invaded Ukraine in February 2022 with tanks, armoured vehicles and artillery. Trying to counter Russia's advantage in such conventional



The bird nest made with fragments of optic fibre. REUTERS

equipment, Ukraine has poured resources into developing aerial drones. Drones now dominate the battlefield.

Hrynko said researchers did not know which birds made the nests nor how they had gathered the long cables.

"The first nest mainly contains dry grass and fibre-optic cable. And it's pretty tightly twisted," she said.

Reuters spoke to several Ukrainian servicemen in the frontline regions of Donetsk, Kharkiv and Zaporizhzhia who had found such nests and posted their pictures and videos online.

One of the two nests will remain in Kyiv as a part of the War Museum's war collection, and the other will be sent for study in the Netherlands and later returned, researchers said.

Auke-Florian Hiemstra, a 33-year-old biologist based in the Dutch city of Leiden who specialises in artificial nest ma-

terials, said Ukraine had rich avian biodiversity and there were many species that could have built the nests.

"We're going to look for DNA traces still in a nest to determine who actually made the nest," she said. "I have never seen nests like this before - and I have seen many, many bird nests."

The impact of the fibre-optic on birds could be mixed, Hiemstra said. It could cause harm as the birds could become entangled but it could also benefit them by helping them make a strong nest. "And by documenting this nest, we're also documenting the impact of war on nature in Ukraine," Hiemstra said.

WEDNESDAY, JULY 1, 2026



The Indian EXPRESS

JOURNALISM of COURAGE

NEW DELHI, LATE CITY, 24 PAGES

₹7.00 (₹8 RAIPUR, ₹15 SRINAGAR) • www.indianexpress.com

DAILY FROM: AHMEDABAD, CHANDIGARH, DELHI, JAIPUR, KOLKATA, LUCKNOW, MUMBAI, NAGPUR, PATNA, PUN

THEIR FIRST CONVERSATION AFTER IRAN-U.S. MOU

Safe Hormuz is key, Modi tells Pezeshkian; extended invite to BRICS summit in India: Tehran

President briefs PM on developments in West Asia and the way forward

Divya A

New Delhi, June 30

IN HIS first conversation with Iranian President Masoud Pezeshkian who signed a Memorandum of Understanding with US President Donald Trump on June 17 to end hostilities, Prime Minister Narendra Modi Tuesday expressed the hope for “lasting peace in the region” and underlined “the impor-



Hope for lasting peace in region, PM tells Iran President

tance of freedom of navigation” in the Strait of Hormuz, key to India’s energy imports.

According to the Iranian readout of the phone conversation, posted on X by its embassy in New Delhi, Prime Minister Modi “formally invited the President of Iran to attend the upcoming BRICS Leaders’ Summit to be hosted by India

and expressed hope that the meeting would contribute to further strengthening multilateral cooperation among the member countries”.

Modi, the Iranian readout said, “conveyed the condolences and sympathy of the Government and people of India following the martyrdom

»CONTINUED ON PAGE 2



Army gets a new chief

General Dhiraj Seth (left) takes over as the 31st Chief of the Army Staff from General Upendra Dwivedi, in New Delhi on Tuesday. X/@ADGPI [REPORT, PAGE 7](#)

Small firms panic over Govt probe at behest of JSW joint venture

Company wants penal duty on suppliers from China, South Korea

Pratyush Deep & Ravi Dutta Mishra
New Delhi, June 30

AN ANTI-DUMPING probe initiated by the Commerce and Industry Ministry on Cold Rolled Grain Oriented (CRGO) steel, a specialised type of steel, has sparked outrage among MSME transformer manufac-

turers, and also raised fears of a hike in electricity cost for consumers.

The investigation, ordered on June 22, is based on an application by one company, JSW JFE Electrical Steel Nashik Private Limited, which is a joint venture between JSW Steel Limited, India’s largest steel producer, and Japan-based JFE

Steel Corporation.

JSW JFE Electrical Steel is the only producer of CRGO steel in India, and is seen as strategically crucial for the country. It is a key input material in transformers, which forms the backbone of the electricity transmission system. The probe comes in the backdrop of a

»CONTINUED ON PAGE 2

After June deficit, below-normal rainfall expected in July too: IMD

Amitabh Sinha

New Delhi, June 30

WHILE JUNE recorded a 40 per cent rainfall deficit, the India Meteorological Department (IMD) on Tuesday said rainfall in the month of July was also expected to be below normal, less than 94 per cent of the long period average.

The IMD had predicted 92 per cent rainfall for June, but the month brought in just about 60 per cent of normal rains, making it the fifth driest June since 1901 — the year from which rainfall records are available in India. The shortfall in June has put a question mark over the rainfall prediction for the entire monsoon season.

In May, the IMD had said that under the influence of a developing El Nino phase in the Pacific region, the four-month monsoon season starting in June was expected to bring less than normal rainfall.

»CONTINUED ON PAGE 2

Anti-dumping probe

rapid expansion drive in the country's transmission network, which is expected to spur demand for CRGO steel.

A query emailed to JSW Group did not elicit a comment.

As on date, much of the domestic demand is met through imports. JSW JFE Electrical Steel faces stiff competition on the pricing front from producers in China, Japan and European Union.

The initiation of the probe comes soon after JSW JFE Electrical Steel became the sole producer of CRGO post the Rs 4,158-crore acquisition of Thyssenkrupp's Nashik plant in January last year. A safeguard duty investigation initiated earlier had excluded CRGO from its scope on grounds India does not produce this specialised steel.

Adverse impact on MSMEs

A Jaipur-based MSME said CRGO is a very important raw material for transformers and it comprises about 40-50% of the cost of transformers. If the cost goes up, it will eventually be passed to consumers, said Ajay Sanghi, Managing Director, Sri Krsna Sudarshan Urja. The company manufactures distribution transformers.

"We will represent our concerns in the ongoing anti-dumping duty investigation to the Di-

rectorate General of Trade Remedies," Sanghi told *The Indian Express*.

Another MSME federation head who did not wish to be named said CRGO is a key input item for small MSME transformer manufacturers. "JSW is the only beneficiary of the anti-dumping duty investigation in a sector dominated by MMSE," the federation official said.

"The domestic demand of CRGO is more than 4 lakh tonnes a year; the domestic production stands at 4,000-5,000 tonnes only. Now JSW has put up a plant with JFE Japan, estimating that by FY 2028, they will take the capacity to 3.5 lakh tonnes. They have PLI benefits, and this probe is an attempt to extract higher prices instead of controlling their own costs," the source claimed.

Impact on power tariff

CRGO is used in the core of transformers to enhance their magnetic properties. As per industry estimates, 98 per cent of all CRGO steel produced goes into the transformer business. Any price increase hence raises concerns about power infrastructure costs, which would ultimately reach consumers through tariffs.

Alekhya Datta, Fellow and Director, Electricity and Renewables Division, The Energy and

Resources Institute (TERI), said CRGO typically accounts for around 15-20% of the bill of materials in standard transformers. "So a 10% rise in CRGO prices can raise transformer costs by roughly 1.5-3%, while a 20% rise can raise transformer costs by about 3-6%," he said.

The concern is larger here because India is in the middle of a major grid expansion plan over the next six years to 6.48 lakh circuit km of transmission network in 2032 from 4.91 lakh circuit km in 2024, and increase in capacity to 2,342 GVA from 1,290 GVA during the period.

He, however, said the tariff impact would be gradual rather than immediate as these capex are recovered over the asset life under the regulated tariff framework. "Therefore, higher CRGO prices would not immediately raise consumer tariffs in one billing cycle, but they can increase approved T&D capex and gradually feed into electricity tariffs over time," he said.

Alok Sahay, Secretary General, Indian Steel Association (ISA), which represents big steel companies, said that CRGO steel requires more investment than green field steel. "In India, for setting 1 million tonnes of green field steel, it requires a \$1 billion investment. For CRGO steel, it is 7-10 times higher depending on technology," Sahay told The Indian Express. "Many of these projects also have foreign investors. If the government allows subsidised steel imports to con-

tinue unchecked, it could undermine investors' confidence, prompting overseas investors to reconsider or withdraw their investments in India," he said.

Procedural concerns

In its report announcing the initiation of the investigation, the Directorate General of Trade Remedies said JSW JFE Electrical Steel has provided prima facie evidence with respect to the injury suffered by the domestic industry due to the dumped imports. "There is evidence of price suppression and depression due to imports. The subject imports have had an adverse impact on the profitability parameters of the domestic industry," the DGTR said.

In its application, JSW JFE Electrical Steel said it "was not able to obtain information on comparable prices of the subject goods in Japan, Korea RP and Russia" and claimed that "China should be treated as a non-market economy". Experts said seeking anti-dumping on multiple countries simultaneously is unusual.

India's CRGO market is highly import-dependent. While the country's annual CRGO consumption is estimated at 400,000-450,000 tonnes, domestic production is currently estimated at only around 40,000-50,000 tonnes. Nearly 90% of India's requirements are imported, mainly from China, Japan, South Korea and Russia.

Hormuz

of the Supreme Leader and a number of Iranian officials and citizens during the recent war. He also announced that India would send a special delegation to attend the funeral ceremony of the martyred Leader of the Islamic Revolution".

The phone conversation took place days after Pezeshkian invited Modi to the state funeral for Supreme Leader Ayatollah Ali Khamenei who was killed in a US-Israeli air strike on Tehran on February 28. Khamenei's funeral proceedings will begin in Tehran on July 4, and he will be laid to rest in his home town of Mashhad on July 9.

Modi may be unable to attend the funeral since he is scheduled to leave on a three-nation visit around the same dates. External Affairs Minister S Jaishankar is likely to accompany the Prime Minister on the tour. The government, it is learnt, has chosen Bihar Governor Lt General Syed Ata Hasnain (retired) and Minister of State for External Affairs Pabitra Margherita as leaders of the Indian delegation.

Following the phone conversation, Modi, in a post on X, said, "Spoke with the President of Iran, Dr Masoud Pezeshkian, on the recent developments in West Asia. Welcomed the progress made in the negotiations and expressed hope that continued efforts will lead to lasting peace in the region. Reiterated the importance of freedom of navigation in the Hormuz Strait for India and the World."

Following the Iran-US MoU, multiple India-bound vessels have successfully transited the Strait of Hormuz chokepoint. Over a dozen vessels sailing to India have successfully navigated the strait, including three India-flagged crude tankers and multiple LPG and bulk fertiliser carriers.

But 10-12 India-flagged vessels are still located within the Persian Gulf. Despite the lifting of the ban, shipping companies and seafarers are being instructed to maintain strict ship security procedures - the

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

West Asia conflict severely disrupted India's energy imports and claimed the lives of several Indians in the region including seafarers.

According to a statement by the Prime Minister's Office, the Iranian President briefed the Prime Minister on the recent developments in West Asia and the way forward. Modi welcomed the understanding reached, and reiterated India's consistent position that all issues must be resolved through dialogue and diplomacy, the statement said.

The Prime Minister, the PMO said, reiterated the need for continued efforts to ensure lasting peace and stability in the region, and for safeguarding freedom of navigation and commerce.

The Iranian readout said Pezeshkian "expressed appreciation for the constructive positions adopted by the Government of India and for Prime Minister Modi's personal role in supporting peace, stability, and regional cooperation". It quoted Pezeshkian saying "the international community should work to consolidate this process so that aggression and the use of force have no place in international relations".

Pezeshkian also spoke about the convergence of views between Tehran and Delhi on many regional and international issues, particularly within multilateral organisations and forums, it said.

Earlier, Modi had welcomed the understanding between the US and Iran, saying the conflict in West Asia "caused serious economic disruption across the world and led to loss of life in many countries". India, he said, hoped that the implementation of the understanding would help restore peace and stability in the region and ensure freedom of navigation and commerce.

Modi and Pezeshkian last spoke in March in the wake of escalating regional instability but Tehran and Delhi maintained regular channels of communication at various levels throughout the conflict.

Iran's Foreign Minister Syed Abbas Araghchi visited India in May for a meeting of BRICS foreign ministers.

Rainfall

It had said rainfall during this period was likely to be only 90 per cent of the long-period average. The prediction had assessed that the second half of the monsoon, the months of August and September, could be impacted by El Nino, but the first two months would be largely unaffected. The rainfall deficit in June could force the IMD to re-examine its assessment for the season.

On Tuesday, the IMD released its forecast only for the month of July. The updated seasonal forecast is released only at the end of July every year.

According to the IMD's latest forecast, while July - the rainiest month of the monsoon season which accounts for 32 per cent of the seasonal rainfall - is also predicted to see below-normal rainfall, it could be substantially better than June.

Interestingly, the IMD's forecast has only mentioned the upper limit of expected rainfall - it has said rainfall in July was expected to be less than 94 per cent. The monthly forecast for July is being made for the first time. Earlier, only the prediction for June was made.

The monsoon made some good progress in the last few days of June. A week ago, the month of June was staring at the prospect of becoming the driest ever. June is normally expected to bring about 165.3 mm of rainfall. The driest June was in 2009, when it received just 87.6 mm rainfall. There were just four years, including 2009, when the month saw below-100 mm rainfall. This year has now become the fifth, ending up with 99.5 mm of rainfall.

The slight improvement in the last few days is expected to continue into July as well, the IMD said. The first week of July is likely to bring fairly widespread rains in most parts of the country, it said.

"Above-normal monthly maximum temperatures are most likely over most parts of the country, except a few isolated areas in west-central India which are likely to experience normal to below-normal maximum temperatures," it said.

As of now, weak El Nino conditions are prevailing in the Pacific Ocean, but these are likely to strengthen in July. This is expected to impact rainfall, as well as lead to higher temperatures.

Gen Dwivedi signs off as Army Chief, says wars will be more theatre-oriented in future

Press Trust of India
New Delhi, June 30

OUTGOING ARMY Chief General Upendra Dwivedi on Tuesday said that wars will be more joint, integrated and theatre-oriented in future, and therefore, the armed forces' direction is clear "to see together, take decisions together and take actions together".

Gen Dwivedi, who retired on Tuesday, was accorded a guard of honour as part of a ceremonial farewell held on the lawns of the South Block.

Meanwhile, General Dhiraj Seth, an accomplished military officer with the rare distinction of heading two operational Army commands along the western front, took charge as the new Chief of the Army Staff on Tuesday.

During his remarks to the media on the sidelines of the



Outgoing Chief of the Army Staff General Upendra Dwivedi receives the Guard of Honour during his farewell ceremony in New Delhi on Tuesday. ANI

farewell event, General Dwivedi said, "Today, as I complete my tenure as the Chief of the Army Staff, I feel a sense of deep gratitude, pride and satisfaction."

Gen Dwivedi had taken over as the 30th Chief of the Army Staff in June 2024.

"The journey from Sainik School till now has been incredible. To serve the Indian Army for over four decades has been the greatest fortune in my life," he said.

The Indian Army draws its strength "not from one individual, but from its soldiers, commanders, veterans, families and the unshakeable faith of the country's citizens", the outgoing Army chief said.

Before the farewell ceremony, the Army chief visited the National War Memorial where he laid a wreath to honour the country's bravehearts.

In a statement, the defence ministry said, 'Op Sindoor' was a "defining moment of his tenure, reflecting the Army's preparedness, precision and calibrated response in the

emerging security environment". He accorded high priority to operational readiness across all theatres.

"Under his leadership, the Indian Army maintained a robust and vigilant posture along the northern borders under 'Op Snow Leopard' and discharged its responsibilities on the western front with resolve, restraint and professionalism," it said.

Earlier in the day, Gen Dwivedi told reporters that in the past two years, the Indian Army has maintained its operational readiness in a progressive manner on all fronts.

Later, he passed on the ceremonial baton to Gen Seth. "He (Gen Seth) is an experienced soldier, and an able leader. I am fully confident that under his leadership, the Indian Army... will reach greater heights," Gen Dwivedi said.

The Editorial Page

WEDNESDAY, JULY 1, 2026

The Indo-Pacific is here to stay, with or without Washington

**RAJA MANDALA**
BY C RAJA MOHAN

Road ahead is electric, but it isn't easy

THE DELHI government's decision to make electric mobility the default choice for significant sections of its transport system could be a watershed in the environmental governance of a city that has been dogged by persistent pollution problems. Most EV policies in the country have primarily relied on subsidies, tax concessions and awareness campaigns. Delhi's new framework does not totally discard the path of persuasion and affirms a phased approach to the transition. But significantly, it introduces clear deadlines. From April 2028, electric vehicles will be the only option for residents seeking to purchase a new two-wheeler. Commercial three-wheelers will undergo a mandatory transition beginning January 1 next year. Urban transport worldwide is moving towards electrification, and cities that prepare early are likely to enjoy competitive advantages, especially in investment. The Delhi government's decision to establish firm timelines, therefore, demonstrates a welcome willingness to move beyond incrementalism.

While studies may differ on the exact pollution burden imposed by vehicles, there is near unanimity that tailpipe emissions are among the major reasons for Delhi's poor air quality. The policy's immediate focus on two-wheelers is salient given that these vehicles comprise two-thirds of the capital's vehicle fleet. At the same time, the policy also uses incentives to nudge four-wheeler users to give up fossil-fuel-driven vehicles. Given that EVs currently comprise about 15 per cent of the total vehicles registered in the capital, the Delhi government's push for a greener fleet by 2030 might appear ambitious. But the city is among the fastest-growing EV markets in the country. According to the research and advocacy group, Envirocatalysts, Delhi saw record growth in electric vehicle adoption during January-May — e-bike registrations increased 70 per cent compared to the same period last year, while those of private e-cars went up by 95 per cent.

If implemented well, the capital's EV policy could offer pointers to green mobility in the country. It will face challenges. An EV-dominated fleet will require an adequate charging infrastructure. The transition will also be confronted with the limitations of India's battery supply chain, especially its dependence on imported lithium cells and critical minerals. Geopolitical uncertainties, fluctuating commodity prices and concentration of mineral processing capacities in a few countries could expose manufacturers to supply disruptions. The transition in Delhi will require making economic adjustments, adapting to logistical challenges, and enhancing technological capabilities. The national capital's endeavour will be closely watched.

New FCRA rules shrink space for civic action

THE FOREIGN Contribution Regulation (Amendment) Rules, 2026 mark a troubling expansion of executive control over civil society by deepening a regulatory framework that has steadily transformed the FCRA from a law governing foreign funding into an instrument for supervising and constraining the functioning of voluntary organisations. The rules require NGOs to classify their activities under narrowly defined categories, specify geographical areas of operation, submit more granular disclosures, and face stricter compliance obligations. They also expand oversight of organisations engaged in activities with religious dimensions, with the government citing concerns over the misuse of foreign funds and unlawful conversions. Transparency in the use of foreign contributions is necessary to address large-scale violations and infractions. But a compliance regime that increasingly allows the executive to shape the scope and character of an organisation's work reinforces a governance model that treats independent civic action as a source of potential risk rather than a democratic asset.

The FCRA was originally enacted in 1976, during the Emergency, to prevent foreign intervention in India's political processes. It was substantially revised in 2010, introducing stricter registration and reporting requirements, and amended again, most consequentially, in 2020, prohibiting the onward transfer of foreign contributions to partner organisations and capping administrative expenses at 20 per cent of foreign funding, among other changes. Each successive amendment has increased compliance burdens while widening executive discretion over who may receive foreign funds and on what terms. The cumulative effect has been considerable. As of March 2026, nearly 20,000 organisations had lost their FCRA licences in the last 12 years.

Whether in education, healthcare, environmental conservation, legal aid or advocacy for vulnerable communities, civil society organisations fill gaps that governments cannot or do not. A regulatory framework that demands ever greater disclosures while expanding official discretion risks shrinking the space in which such organisations can function with confidence. It reflects a troubling assumption that the state alone should determine the boundaries of legitimate public engagement — the new rules, for instance, demand disclosure of social media accounts and all publications by key functionaries. Instances of misuse undoubtedly warrant investigation and punishment. They cannot, however, justify subjecting every organisation to expanding layers of surveillance and procedural control.

American "entrapment" and fears of American "abandonment".

The Indo-Pacific construct, when it emerged in the early 2000s, reflected the changing distribution of economic and military power in Asia driven by China's rise and assertion. What Americans call that reality matters less than the fact that Beijing's neighbours have no option but to deal with it — with or without American support.

In any case, the Indo-Pacific was not an American invention. Its modern political articulation came from Japan. In August 2007, during his historic address to the Indian Parliament, the late Shinzo Abe spoke of the "Confluence of the Two Seas". His argument was both simple and profound: The destinies of the Indian and Pacific Oceans had become inseparable, and the democracies along their littorals needed to work together to preserve an open regional order.

For Abe, this was not diplomatic rhetoric. It reflected Japan's assessment that China's rise had fundamentally altered Asia's strategic balance. The old Cold War alliance system centred exclusively on northeast Asia would no longer suffice. Japan needed stronger partnerships with India, Australia, Southeast Asia and Europe while reinforcing its alliance with the United States. The Indo-Pacific became the organising principle for that broader strategy.

Nearly two decades later, Prime Minister Takaichi has become the principal custodian of Abe's vision. Rather than retreating in the face of Washington's change of emphasis, Tokyo has doubled down. Speaking at Vietnam National University in Hanoi in May, Takaichi unveiled an updated "Free and Open Indo-Pacific" strategy, reaffirming the concept's validity despite shifts in American policy. Her updated

Free Whatsapp Channel <https://whatsapp.com/channel/0029Van2VRb6RGJOKH6oBd0F>

framework places new emphasis on resilient supply chains, critical minerals, economic security, maritime cooperation and stronger partnerships across the region.

Japan's credibility rests not merely on its diplomacy but on the transformation underway at home. Under Takaichi, Tokyo has accelerated the most ambitious expansion of Japanese defence capabilities since World War II. Defence spending crossed the 2 per cent of GDP threshold ahead of schedule. Long-range strike capabilities — including Tomahawk cruise missiles and extended-range indigenous missiles — are being deployed. Japan is reorganising its maritime forces, expanding its space capabilities, strengthening defence-industrial cooperation with partners, and building new security networks with Australia, South Korea, the Philippines and India. Tokyo's message is clear: Preserving a stable Indo-Pacific requires Japan to become a stronger strategic actor in its own right, not merely a dependent ally of the US.

The outcomes from Takaichi's visit will reflect that strategy. Tokyo and Delhi are preparing a joint declaration on economic security that, according to Japanese officials, will register their shared opposition to economic coercion. The two sides are expected to identify priority sectors, from semiconductors and critical minerals to clean energy, and to commit to coordinating their response when coercion is used.

Ironically, perhaps the strongest validation of the Indo-Pacific idea comes from China itself. Beijing dismisses the Indo-Pacific as an artificial construct. Yet, its own policies increasingly integrate the two oceans into a single strategic theatre. Over the past two decades, China's dependence on Middle Eastern energy and African re-

sources has steadily grown.

Beijing has built overland economic corridors linking western China to the Indian Ocean, established its first overseas military base in Djibouti, maintained a continuous naval presence across the Indian Ocean and developed an expanding network of dual-use commercial facilities stretching from Southeast Asia to the east coast of Africa. Chinese strategy increasingly treats the Indian and Pacific Oceans as one connected maritime space — which is precisely the logic underlying the Indo-Pacific concept.

India recognised this transformation nearly a decade ago when it formally embraced the Indo-Pacific as the widening arena of its strategic interests. There is little reason to abandon that framework simply because Washington has altered its vocabulary.

Delhi need not become captive to American enthusiasm or American indifference.

The Indo-Pacific ultimately rests not on American terminology but on Asian geography and Asian power politics. As China expands simultaneously into the Pacific and the Indian Ocean, and as Japan emerges as an increasingly capable strategic actor, the integration of the two oceans will only deepen.

The Indo-Pacific, then, is a structural reality of Asian politics, not a shifting American narrative. India should focus on building its own capabilities and deepening partnerships with like-minded Indo-Pacific countries to strengthen the regional balance of power.

The writer is contributing editor on international affairs for The Indian Express. He is also associated with the Motwani-Jadeja Institute of American Studies, Jindal Global University and the Council on Strategic and Defense Research, Delhi

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

Delhi need not become captive to American enthusiasm or indifference. The Indo-Pacific ultimately rests not on terminology but on Asian geography and Asian power politics

The Ideas Page

WEDNESDAY, JULY 1, 2026

A question in wake of Great Nicobar project: Is what can be justified also just?



JAY MAZOOMDAR

LOST IN the debate surrounding the Great Nicobar Island project is a fundamental question: Is what can be justified necessarily just?

A short Bengali poem by the late Binoy Majumdar can be paraphrased thus: “When some explorers ‘discovered’ an island, they found people already living there. If the island was ‘undiscovered’, how could it be inhabited? And if people were already living there, how could the explorers ‘discover’ it?”

Perhaps the maverick mathematician-poet was examining the colonial Doctrine of Discovery — the idea that the first European nation to “discover” a territory in the Americas acquired exclusive rights over it. Around the same time, British colonists in Australia treated hundreds of Aboriginal nations as inhabitants of *terra nullius* — nobody’s land.

In India, Lord Dalhousie’s Waste Land Rules enabled the takeover of vast tracts of “unproductive” forests and commons beginning in the 1850s. The Land Acquisition Act, 1894 made the government’s decision the final word for a public purpose, pushing railways, mines and plantations across forested tribal regions, such as Chota Nagpur, Santhal Parganas and the Central Provinces.

Few would dispute that each of these policies was profoundly unjust and immoral, if not outright criminal, by today’s ethical and legal standards. Even fewer would argue that the world is worse off because of the railways, industries and cities that emerged from those interventions. But that is no reason to repeat them. More than a century after the colonial framing of “public purpose”, no claim of public, strategic or national interest can be exempt from the burden of justification today. Especially when a mega project is envisaged in a rainforest island that is home to several endemic wild species and to

Free Whatsapp Channel <https://whatsapp.com/channel/0029Van2VRb6RGJOKH6oBd0F>



ILLUSTRATION: C R SASIKUMAR

the world’s only population of fewer than 300 indigenous Shompen people.

The Rs 90,000-crore Great Nicobar Island project, spanning 166 sq km at the southernmost tip of the archipelago, includes an international container transshipment port, an integrated township, a civil-military airport, a power plant and luxury tourism facilities. Many have demonstrated otherwise but, for a moment, let us accept that the defence installation’s location is non-negotiable, that the transshipment port can be financially viable, that the sprawling township is necessary, that the geological risks are manageable, and that the project’s strategic importance is paramount.

But even if every justification is taken at face value, none answers the more important question: Is the project just? By its own submission, the plan requires 73 sq km of tribal reserve areas. On its balance sheet, the project has provided for adding 77 sq km of peripheral land to make up for the loss. The indigenous people are not to be dispossessed, merely displaced.

In 1823, the US Supreme Court Chief Justice John Marshall weighed in on indigenous rights: “The rights of the original inhabit-

The doctrine of public trust demands the state to hold vital natural resources — like air, water, forests, coasts — in trust for the benefit of the public, not only of the present generation but of those yet to come

ants were, in no instance, entirely disregarded; but were necessarily diminished.”

Shifting them from parts of their ancestral home will unsettle the Shompen and the Great Nicobarese, the other indigenous tribe inhabiting the coastal areas of the island. Neither have consented to the plan. The very assertion that these people can be pushed around at will disregards their traditional land use practices. The proposed arrangement echoes an unsettling past: “Is it supposed that the wandering savage has a stronger attachment to his home than the settled, civilised Christian?... Doubtless it will be painful to leave the graves of their fathers; but what do they more than our ancestors did or than our children are now doing?”

That was US President Andrew Jackson’s message to the Congress in 1830. Two centuries have passed since. Today, ancestral rights of indigenous groups to their ancestral land are well established. The UN acknowledges that respecting their self-determination and traditional territories is essential to prevent exploitation and displacement. We do not need to look far to know what risks our civilisation poses to the indigenous people. Contact with outsiders has

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

historically exposed these isolated communities not only to unfamiliar diseases — such as measles, tuberculosis, syphilis and respiratory infections — but also to substance abuse, social disruption, economic dependency and sexual exploitation.

Since the arrival of British settlers in the 1850s, the Great Andamanese population fell from an estimated 3,500-6,000 to fewer than 650 in just five decades. Today, less than a hundred survive on Strait Island. A similar fate befell the Onge on Little Andaman. The hunter-gatherers could not adjust to forced settlement and many died of alcoholism, depression and suicide. The Jarawa resisted outside contact for much longer. But the world entered their home through the Andaman Trunk Road that cut through the heart of the Jarawa Reserve in the 1990s. Today, the Jarawa face the same pitfalls of disease and alcoholism, with their women falling victim to trafficking and abuse. Knowing this history, can we still justify exposing the Shompen to the same risks? Or are we, in our ambition to build our own “Hong Kong” at their home, echoing an anachronistic entitlement that every corner of the land must be put to productive use on our terms?

“Our manifest destiny is to overspread the continent allotted by Providence for the free development of our yearly multiplying millions,” wrote American political columnist John O’Sullivan in support of annexing indigenous land in 1845. Nearly two centuries should have been time enough to leave behind such impulses. The doctrine of public trust demands that the state hold vital natural resources — like air, water, forests, coasts — in trust for the benefit of the public, not only of the present generation but of those yet to come. That intergenerational promise must extend to our past — or what survives of it, not because of us but despite us. We are duty-bound to protect their right to simply exist where they are, as they are.

Indeed, public interest may sometimes justify imposing the cost of a larger good on a few. But not when those few are the very last survivors of our war on old ways of life.

The writer is associate editor, The Indian Express.

jay.mazoomdar@expressindia.com



AMITABH KANT

WE ARE in the midst of a civilisational transition. The last of this magnitude was the Industrial Revolution, which took two centuries to play out. This one will take two decades. According to the Stanford AI Index, the cost of querying a model at GPT-3.5 level performance fell from \$20 per million tokens in November 2022 to just \$0.07 by October 2024. Generative AI has reached 53 per cent population adoption in only three years, faster than the PC and the internet at comparable stages of their lifecycles. India contributes a vast share of the world’s digital exhaust, linguistic diversity and human context to global AI systems, yet the frontier model layer remains heavily concentrated elsewhere, like the US. Yet India has four advantages few countries can match.

First, talent. India ranks first globally in AI skill penetration at 2.8 times the global average, ahead of both the US and Germany, and its AI talent concentration has risen sharply over the past decade. India is no longer simply exporting engineers to the world. It is increasingly absorbing talent domestically as global capability centres, start-ups and major firms build AI teams inside the country.

Second, regulation. While many jurisdictions are moving toward heavy *ex ante* controls, we have chosen feather-touch regulation. The RBI Regulatory Sandbox, the IFSCA innovation frameworks, and the IndiaAI Mission’s guidelines are all designed

Winners are usually those who build durable ecosystems at the moment when technology becomes broadly usable. India still has that window, but it will not stay open forever

for the same objective: Build first. Govern what emerges.

Third, infrastructure. India is seeing a major build-out of the physical foundations of the AI economy in the form of data centres, semiconductors, cloud capacity and high-performance computing. In data centres alone, nearly \$70 billion of investment is already underway, with an additional \$90 billion in announced projects. The total committed investment from the private sector has crossed \$160 billion.

Fourth, energy. Data centres require reliable, round-the-clock power, making energy policy central to AI competitiveness. India added 55.3 GW of non-fossil capacity in 2025–26, taking non-fossil installed capacity to 283.46 GW by March 2026. Data centres can also be the anchor demand for renewable energy, storage and grid modernisation.

Today, no country controls the entire AI value chain. Advanced lithography comes from the Netherlands. Key chip fabrication is concentrated in Taiwan and South Korea.

In several domains, India is indispensable because of its scale, linguistic diversity and lived complexity. The idea that one nation will monopolise AI is false. What will matter instead is which countries become indispensable nodes in a deeply interdependent system.

Aadhaar, UPI, Account Aggregator, and ONDC have shown that India can build interoperable, popu-

lation-scale digital rails and then let private innovation flourish on top. The next logical step is to apply the same philosophy to AI through shared sovereign compute, high-quality public datasets, multilingual models and open infrastructure on which start-ups and researchers can compete.

An AI system that works only in English, only in metros and only for formally documented consumers is not an Indian AI system. India’s opportunity lies in building models that work in Tamil and Marathi, Bengali and Bhojpuri; for farmers as much as for financial analysts; for primary health centres as much as for global corporations.

First movers do not always win. ARPANET laid the foundations of the internet (1969), but Tim Berners-Lee and CERN made it world-accessible through the World Wide Web (1989); Clive Sinclair built the first mass-market home computer (1980), but IBM, Apple and Microsoft defined the personal computing era. Winners are usually those who build durable ecosystems at the moment when technology becomes broadly usable. India still has that window, but it will not stay open forever. It must build sovereign compute, widen access to intelligence, align AI with clean energy, and design for the bottom of the pyramid rather than the top.

The writer is chancellor of NIIT University, chairman, Fairfax Centre for Free Enterprise, former G20 sherpa, India, and former CEO, NITI Aayog

Before AI window closes, build sovereign compute

Law ministry: AG never told SC ethanol an 'ongoing experiment'

ENS & PTI
New Delhi, June 30

Tuesday's protest had been called by the Committee on Tribal Unity—a Kuki-Zo organisation in Kangpokpi—after issuing a 48-hour “ultimatum” to the government to restore the movement of goods here.

It said, "These reports are completely false and do not reflect anything even close to the actual submissions made before the Hon'ble Court."

Earlier in the day, a PTI report said that during the hearing of a plea filed by an oil company, the AG had submitted before the Court that ethanol blending was still an ongoing experiment.

Year after UMEED, waqf database shows 11% applications rejected, a third from UP

Govt attributes rejection percentage to quality of land records, difference in volume of waqf properties, awareness

Asad Rehman
New Delhi, June 30

A YEAR after the Centre launched a portal to create a digital inventory of geo-tagged waqf properties across the country, there's a question mark on the fate of 88,571 such properties whose details for registration have been rejected after scrutiny. These account for just 11% of the total 795,784 waqf properties sought to be registered.

Data available on the UMEED portal — the Unified Waqf Management, Empowerment, Efficiency and Development platform — show that a total of 5,87,804 properties or 74% of the total were approved for inclusion. The registration process is yet to be completed.

Uttar Pradesh with 31,783 rejections accounts for almost 36% of the waqf properties nation-

wide that failed to find space on the UMEED portal. West Bengal with rejection of 14,134 waqf property applications accounts for 16% of the total rejections, and Rajasthan with 12,080 accounts for over 13% of total rejections. Following the non-inclusion of 88,571 properties, officials of waqf boards in several states told *The Indian Express* that they have "no idea" what will happen to the properties rejected by the portal.

States that witnessed the maximum rejection of their Waqf property applications included Rajasthan (37%), Tamil Nadu (26%), Uttar Pradesh (22.23%). In absolute terms, a total of 795,784 waqf properties were sought to be included on the portal — 160,857 properties from Uttar Pradesh alone (20.1%) and another 1,34,545 (16.9%) from West Bengal. In

• WAQF APPLICATIONS ON UMEED PORTAL



States with highest rejections

State	Applications	Rejected	Share in total rejections
UP (Shia & Sunni)	1,60,857	31,783	35.88%
West Bengal	1,34,545	14,134	15.95%
Rajasthan	32,055	12,080	13.63%
Telangana	63,952	5,572	6.29%
Kerala	80,351	5,492	6.83%

Uttar Pradesh, which has two separate waqf boards for Shia and Sunni communities, 29,724 of the 1.52 lakh Sunni waqf property applications were rejected. Of the 8,171 Shia waqf property applications, 2,059 were rejected. In neighbouring Uttarakhand, 455 of the 2,468 property applications were rejected.

The Centre launched the UMEED portal on June 6, 2025, to create a digital inventory after geo-tagging all waqf properties. Details of all registered waqf properties across India were to be mandatorily uploaded within six months. On

December 5 last year, when the six-month deadline for inclusion in the portal ran out, Union Minority Affairs Minister Kiren Rijiju said that there would be no penalty for those who had failed to register properties on the portal, and that they could approach the waqf tribunals in the states for an extension. Subsequently, state waqf tribunals granted extensions to upload the details. The extended deadline has already passed in some states, while it will run out in the coming days in other states.

The process for getting a waqf property registered on

the portal has three layers — initiation by maker (mutawalli or caretaker of a waqf property), a check by the "checker" (a designated district-level official or state waqf board official), and approval by the "approver" (senior waqf board officials in the state).

In Uttar Pradesh, which has two separate waqf boards for Shia and Sunni communities, the Sunni Waqf Board saw 29,724 out of 1.52 lakh applications for properties being rejected. The Shia Waqf Board saw rejection of 2,059 properties out of 8,171 applications. Uttar Pradesh Shia Waqf Board chairman Ali Zaidi said: "As per the Waqf Act, there was no provision regarding the roadmap on what will happen to properties rejected (for inclusion) on the portal. We have received no information from the government on this."

A mutawalli in Delhi, who manages a property which has been rejected, said: "The property has not been registered, and no explanation has been provided. Even the status of registration remains unknown

to us. The website does not display whether the application is under process, has been registered, or has been rejected." He said they were planning to move court because "our properties were already registered as waqf properties".

CEOs of some waqf boards said they have written to the Centre, seeking more time to complete the process on the portal. "We wrote to the Ministry in June seeking an extension, but have received no reply," one of the CEOs said.

Officials in the Ministry of Minority Affairs attribute the range in rejection percentage to several reasons — quality of land records, awareness and difference in volume of waqf properties in different states. "The first step has to be taken by mutawallis. Some states have better literacy rates, so their mutawallis are more aware. They started the process on time and hence, the states have done better. Southern states have better legacy data for land records, so they have done well," a senior officer in the Ministry said.

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

EXPRESS special

A TN dept escaped new govt churn, ammonia leak deaths could change that

Arun Janardhanan
Chennai, June 30

THE TAMIL Nadu State Commission for Women has ordered an inquiry into the ammonia gas leak at a seafood processing unit in Tiruvallur that claimed 16 lives, most of them women migrant workers, even as the tragedy has renewed scrutiny of the Directorate of Industrial Safety and Health, the department responsible for enforcing safety norms in factories handling hazardous chemicals. This is possibly the only department left untouched after the new regime came to power, while almost all other departments saw widespread transfers of department heads (HODs).

Taking suo motu cognisance of media reports, the Commission has directed the Tiruvallur District Collector to submit a detailed report within four weeks. Its intervention has widened the focus from the immediate failure inside St Peter & Paul Sea Food Export Private Ltd to the larger question of how a unit housing migrant women workers near ammonia-based refrigeration machinery was allowed to operate, and whether Tamil Nadu's industrial safety enforcement system failed to detect or act on risks before they turned fatal.

In its communication dated June 25, the Commission noted that the victims were predominantly women migrant workers from Odisha and other states, who were not only employed at the factory but were also residing in accommodation provided within the premises. It asked the district administration to exam-



The ammonia gas leak at a seafood processing unit in Tiruvallur had killed 16 people, most of them women migrant workers. PTI FILE

ine whether the factory possessed the required licences and approvals to handle ammonia, and whether it complied with labour safety, occupational health and statutory regulations. The Commission has also sought an inquiry into whether workers were compelled to stay inside the factory premises, whether key laws were violated, and whether there was any intimidation by the management.

The leak occurred on June 21 at the factory in Kannigaipair village near Periyapalayam. Around 80 workers were on the ground floor sorting, cleaning and packaging seafood products, while nearly 60 women workers were asleep on the first floor after completing their shifts. The same floor housed machinery and refrigeration equipment that used ammonia.

Workers said an ammonia pipeline ruptured after pressure built up in the system. Within minutes, toxic gas spread through the first floor. Women woke up gasping for breath, their eyes and throats burning. According to an inter-

nal report submitted before the government, women sleeping near the machinery were exposed before anyone realised the scale of the leak and that the air on the first floor was so toxic that rescuers themselves struggled to breathe. When the rescue attempts started, witness accounts said it was impossible to enter the building because the gas concentration was very high.

Meanwhile, the disaster has brought DISH under sharper scrutiny. A senior government secretary told *The Indian Express* that the department has long remained an exception to administrative reshuffles. "After the present government assumed office, transfers were carried out across departments and at multiple levels to dismantle entrenched networks. But the Factory Department was largely untouched. Officers continued in the same positions, dealing with the same employers and industrial establishments for years," the official said.

FULL REPORT ON [WWW.INDIANEXPRESS.COM](https://www.indianexpress.com)

- **DIPLOMACY**

Partners in tech, trade: India-Japan ties amid global disruptions

Divya A

New Delhi, June 30

JAPANESE PRIME Minister Sanae Takaichi lands in India on Wednesday on her first visit. It is focused on boosting trade, investment and strategic cooperation between the two partners, said the Japanese foreign ministry.

The agenda

During her three-day visit, Takaichi will participate in the 16th edition of the India-Japan Annual Summit, a mechanism established in 2006 under which the prime ministers of the two countries meet annually, and alternate as hosts. The summit follows Prime Minister Narendra Modi's visit to Tokyo in August 2025 for the 15th edition, during which the two countries reaffirmed their commitment to deepening cooperation across strategic, economic, technological and security domains.

Takaichi is accompanied by a large business delegation, with executives from both countries set to attend business events with both leaders. Japan is among India's largest investors, backing major infrastructure projects, and has increased investments in Indian companies, including a recent \$1.6 billion deal for a 20% stake in Yes Bank.

Around 1,400 Japanese companies operate in India, nearly half of them in the manufacturing sector. Bilateral trade reached \$27.5 billion in 2025-26, with Japanese

investment in India going up to \$3.2 billion between April and December 2025. Modi and Takaichi had met earlier this month on the sidelines of the G7 Summit in France and discussed enhancing economic cooperation with a focus on trade and investment.

Areas of collaboration

The relationship was launched as a Global Partnership in 2000, upgraded to a Strategic and Global Partnership in 2006, and elevated to a Special Strategic and Global Partnership in 2014 during the Summit between PM Modi and former prime minister Shinzo Abe.

Both countries are important for each other. India-Japan relations provide a strategic and economic counterweight to

China's growing dominance in the region. The leaders will also discuss security cooperation and efforts to advance a free and open Indo-Pacific. India and Japan are members of the Quad grouping alongside the US and Australia, and have expanded defence and strategic collaboration in recent years.

As the world battles issues such as supply chain disruptions and shortage of critical minerals, economic security and technology have also emerged as key pillars of the relationship. Both countries have signed agreements in the fields of minerals and semiconductor supply chains, and enhanced their cooperation in artificial intelligence.

Regional affinities: A unique feature

India-Japan ties are based on cooperation across eight key pillars — economy, economic security, mobility, environment, technology and innovation, healthcare, people-to-people exchanges, and state-prefecture engagement.

Japan is the only country with which India has a dedicated institutional mechanism for the development of the North-East via the India-Japan Act East Forum. India and Japan have partnered on connectivity and development in Northeast India, including projects in infrastructure, agriculture, tourism and skills. In fact, Guwahati was also considered as a possible venue for the visit, but was later ruled out owing to “logistical issues”.

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

- **POLICY**

Can SIR lead to denial of services? The case of journalist Rajagopal

Damini Nath

New Delhi, June 30

KERALA CHIEF Minister V D Satheesan and the Editors Guild of India highlighted the case of R Rajagopal, former editor of The Telegraph, allegedly not being able to renew his passport this week. This came after his name was deleted from the West Bengal electoral rolls during the Special Intensive Revision (SIR) earlier this year.

The new BJP government in Bengal had announced in May that the people deleted from the rolls during the SIR would not be able to avail welfare schemes. These developments may signal consequences for the lakhs of electors whose names were deleted in the SIR, even as their appeals are pending before Supreme Court-appointed tribunals.

What is Rajagopal's case?

The former editor, originally from Kerala and a resident of Kolkata for 30 years, says he applied for passport renewal in February. Meanwhile, he was among the 27 lakh Bengal electors whose names were deleted following an unprecedented adjudication.

cation process ordered by the Supreme Court after the Election Commission flagged him for having a “logical discrepancy” in his documents. He found his name deleted in a supplementary list published on March 27, leaving him unable to cast his vote in the West Bengal election in April.

What does the law say?

Defending the SIR in the Supreme Court last year, the EC had said the exercise was a revision of the electoral rolls, not a determination of citizenship.

In its judgment upholding the EC's right to conduct the SIR in May, the Supreme

SIR and welfare

- Non-renewal of passport may be one of the many consequences for lakhs of electors whose names were deleted in the SIR, and whose appeals are pending.

- The new BJP government in Bengal had announced in May that the people deleted from the rolls during the SIR would not be able to avail welfare schemes.

Court said that while the EC had the right to determine citizenship of electors, it was limited in nature. "The consequence of such a determination is correspondingly limited. It affects the individual's entitlement to be included in the electoral roll, and thereby their right to participate in the electoral process. It does not, however, operate to divest the individual of claims of citizenship, nor does it foreclose a determination of that question by the Competent Authority under the Citizenship Act," the judgment says.

The EC's own instructions accompanying its June 24, 2025 SIR order makes it clear that the Electoral Registration Officers are to refer the cases of suspected foreign nationals to the competent authority. It is for the Home Ministry to make a determination.

Why then are deleted electors facing denial of basic services?

Even as their appeals remain pending before the tribunals, deleted electors in Bengal will not be given rations and access to other government welfare schemes under instructions of the Suwendu Adhikari government. While there is no direct link between the elec-

toral roll and government schemes and services, the EC-issued voter card is one of the most widely-used forms of ID submitted as proof. The Bengal Food and Supplies Department in June ordered a verification of Public Distribution System beneficiaries to remove those “ineligible” based on the SIR deletions.

For passport renewal, it is not mandatory to have a Voter ID, but it can be provided as a proof during the verification. During the police verification, the applicant can provide the Aadhaar, PAN card or Voter ID as an identity proof.

The Editors Guild of India said: "...Mr. Rajagopal's plight highlights the misery that millions of Indians are being put through due to the Special Intensive Revision..."

On Monday, the Kerala CM wrote to Adhikari: "I understand that the adverse report is based on the deletion of his name from the electoral roll under the SIR. While the electoral issue is being dealt with through an appropriate appeal process, I am informed that the police report has had the effect of delaying the renewal process of his passport. I would like to request your good self to kindly look into the matter with urgency."

AGGREGATE GNPA RATIO OF 46 BANKS MAY EDGE UP TO 1.9%, SAYS RBI'S FINANCIAL STABILITY REPORT

Geopolitical fragmentation & AI posing risk to economy: RBI Gov

Banks’ asset quality improved in March 2026, with the gross NPA ratio declining to a multi-decadal low of 1.8%

George Mathew
Mumbai, June 30

RESERVE BANK of India (RBI) Governor Sanjay Malhotra on Tuesday said the global economy and the financial system are being reshaped by two profound forces—growing geopolitical fragmentation and technological disruption brought about by rapid advances in artificial intelligence (AI). The near-term outlook remains uncertain amidst the rapidly evolving global environment, he said.

The risk of adverse external shocks has increased, with geopolitical conflicts and fragmentation emerging as key challenges for policymakers, Malhotra said in the Financial Stability Report released by the RBI. The RBI’s FSR said asset quality of banks improved further in March 2026, with the gross non-performing asset (GNPA) ratio declining to a multi-decadal low level of 1.8%. The improvement in asset quality was broad-based across bank groups.

However, it said the aggregate GNPA ratio of 46 banks may edge up from 1.8% in March 2026 to 1.9% by March 2028 under the baseline scen-

ario. It may rise to 3.8% and 4.1% under adverse scenarios.

“The Indian economy and the financial system have demonstrated remarkable resilience despite facing external shocks of significant magnitude,” he said, adding that strong growth, low inflation, healthy balance sheets of financial and nonfinancial firms, and ample buffers have helped preserve macro-financial stability. “Nevertheless, we remain alert to evolving external and domestic risks and are committed to further strengthening the guardrails that protect our economy and financial system from potential shocks,” he said.

Banks, NBFCs remain sound

He said the FSR reaffirms the strength of the domestic financial system. “Banks and non-banking financial institutions remain sound, supported by strong capital and liquidity positions, healthy profitability, low levels of non-performing assets, and robust credit growth. Stress tests indicate that the financial institutions are well-positioned to withstand adverse shocks,” he said.

Malhotra said the global fi-



‘We remain alert to evolving external and domestic risks’, says RBI governor Sanjay Malhotra. REUTERS

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

nancial stability risks remain elevated. “Inflationary pressures may require major advanced economy central banks to maintain a hawkish policy stance, potentially tightening global financial conditions,” he said. Meanwhile, vulnerabilities associated with high public debt, bond market fragilities, stretched asset valuations, and the growing footprint of leveraged non-bank financial intermediaries could amplify the impact of future shocks, Malhotra said. Despite ongoing conflicts and persistent supply chain disruptions, the global economy has remained resilient—buoyed partly by optimism around potential AI-

driven productivity gains, Malhotra said. He said financial markets, notwithstanding the volatility posed by global uncertainties, have been functioning in an orderly manner.

“Taken together, the financial system remains a key source of strength and support for the real economy and India’s growth momentum,” he said. “We recognise that maintaining public confidence in the financial system requires more than prudential soundness,” he said. Policies that promote fair conduct and improve customer experience are equally important.

FULL REPORT ON
WWW.INDIANEXPRESS.COM

RBI flags risks from elevated AI valuations

Mumbai: The central bank has cautioned that a sharp correction in global equity markets, particularly if driven by a reassessment of corporate earnings growth and elevated valuations in AI-related stocks, could spill over to other markets.

AI-related investments are now permeating into other segments of capital markets, including bond markets, the RBI said in its FSR. Many markets, including South Korea, Taiwan and Japan, recently witnessed a boom and high volatility in AI-related stocks. Concentration remains elevated with a small group of firms involved in AI-related technologies increasingly driving stock market performance in economies that are leading AI adoption or participating in its supply chain, the report said. The recent outperformance of some emerging markets has been largely driven by AI-linked firms rather than broad-based strength. “Both remain sources of financial fragility as sell-offs in these firms could cause broader market declines in the US, and cause spillovers to other markets through wealth effects,” the RBI said. ENS

FULL REPORT ON
WWW.INDIANEXPRESS.COM

AMID WORRIES DUE TO DEFICIENT RAINFALL

Building water buffers a top priority, says FinMin report

Siddharth Upasani
New Delhi, June 30

FLAGGING INDIA’S vulnerability to water shortages, the Ministry of Finance on Tuesday said building water buffers may be “at the top of the list” for policymakers.

Meanwhile, the de-escalation of the West Asia conflict and lower crude oil and fertiliser prices has eased some of the pressures on the government’s finances, “allowing fiscal consolidation to proceed”.

“...the weak progress of the southwest monsoon has weighed on kharif sowing, and the monsoon rainfall deficit is a concern. Among the many things India needs to build buffers for in the coming years, water may be at the top of the list,” the finance ministry said in its Monthly Economic Review report for June.

As on June 26, the total area sown under kharif crops was 22.7% lower than the corresponding period last year, with kharif foodgrain sowing lower by 21.1%. The India Meteorological Department (IMD) has forecast that this year’s monsoon will be 10% lower than the Long Period Average (LPA), with a 43% probability of below-normal rainfall over the Monsoon Core Zone, which covers a large part of India’s rainfed agricultural regions.

On Tuesday, data from IMD showed monsoon in June was 39.8% lower than normal at 99.5 mm, making it the fifth-driest June in 125 years. In July, the

• DRY SPELL

THE WEATHERMAN on Tuesday said the monsoon in June was 39.8% lower than normal at 99.5 mm, making it the fifth-driest June in 125 years

IN JULY the weather department expects rains to be below normal

AS OF June 25, storage in India’s key reservoirs was 26% of total capacity, down from 36% reported last year

BUT THE reservoir storage levels were 5.7% above normal, which



the finance ministry said provides a “safe buffer for irrigation”

weather department expects rains to be below normal. Meanwhile, data from the Central Water Commission shows that as of June 25, storage in India’s key reservoirs was 26% of total capacity, down from 36% last year. However, the finance ministry took comfort in reservoir storage levels being 5.7% above normal, which it said provides a “safe buffer for irrigation”. According to the finance ministry, the West Asia conflict highlighted the need for a national policy on buffer stocks for a variety of critical raw materials and inputs. Now, water has become one of them, with rainfall patterns becoming increasingly unpredictable.

“Among other things, water conservation, including recycling, utilisation of budgetary allocations for Jal Jeevan Mission, may now be at the top of the pol-

icy priority list,” the ministry’s report said. For 2025-26, the Centre’s budget estimate for the Jal Jeevan Mission was Rs 67,000 crore. However, this was cut to just Rs 17,000 crore in the revised estimate. In 2026-27, the government expects to spend Rs 67,670 crore on the scheme.

The finance ministry added the war and the sub-par rains “also underscore the need to reorient India’s agricultural pricing policies to incentivise the cultivation of climate-resilient crops and dis-incentivise water intensive ones”.

“The steady stream of destabilising events and developments globally and climatically is a reminder of the challenges likely to arise in the coming years and the need for policy to stay a step ahead of them,” it further said.

FULL REPORT ON
WWW.INDIANEXPRESS.COM

April-May fiscal deficit at 9.6% of FY27 aim

New Delhi: The Centre’s fiscal deficit widened sharply year-on-year in the first two months of 2026-27, reflecting higher spending and weaker tax receipts. However, public-finance experts said the fiscal position is likely to improve over the rest of the year as crude oil prices ease and non-tax revenues remain robust.

According to Controller General

of Accounts (CGA) data, the fiscal deficit stood at Rs 1.6 lakh crore during April-May, accounting for 9.6% of the Budget Estimate (BE) for FY27, compared with 0.8% of the respective target in the year-ago period.

ICRA chief economist Aditi Nayar said the fiscal expansion was driven by an 18% rise in total expenditure and a 1-2% contraction in both net tax re-

ceipts and non-tax revenues during the two months.

Gross tax revenues grew a modest 1.8% on-year, weighed down by a sharp 20% decline in excise duty after the reduction in duties on petrol and diesel. GST collections also contracted marginally due to higher IGST outflows, although central GST collections expanded a healthy 22.8%. FE

Semicon Mission 2.0: FinMin panel clears Rs 1.25 lakh crore

New Delhi: The government’s semiconductor ambitions are set for a major expansion, with the Expenditure Finance Committee (EFC) under the finance ministry clearing a proposal for a Rs 1.25 lakh crore outlay under India Semiconductor Mission (ISM) 2.0, significantly higher than the Rs 76,000 crore allocated under the first phase of the programme.

Officials in the ministry of electronics and information technology said discussions are still underway with the finance ministry on the final outlay and subsidy structure. The proposal will be placed before the Union Cabinet once those are finalised. The higher allocation underscores the government’s intent to move beyond attracting a handful of fabrication and packaging units to building a broader semiconductor ecosystem spanning chip design, materials, equipment, packaging and talent development. The proposed outlay is about 64% higher than the Rs 76,000 crore approved for ISM 1.0. FE

Swiss giant MSC Group picks up 49% stake in Vizhinjam port

George Mathew
Mumbai, June 30

THE WORLD’S largest shipping and logistics company, Geneva-based Mediterranean Shipping Company (MSC) Group, has acquired a 49% stake in Adani Vizhinjam Port Pvt Ltd (AVPPL) for \$1.397 billion (over Rs 13,000 crore).

Adani Ports and Special Economic Zone Ltd (APSEZ) and MSC Group’s terminal arm, Terminal Investment Ltd (TIL) on Tuesday announced a definitive agreement which represents the single largest foreign private investment in Indian port infrastructure.

TIL is one of the world’s largest container terminal operators and part of the MSC Group. It comprises a portfolio of more than 100 container terminals across five continents and a throughput of over 70 million TEUs per annum.

TIL will invest \$1.397 billion, equivalent to its proportionate 49% share of \$2.85 billion, APSEZ said in a statement.

“The partnership enhances volume visibility and accelerates ramp-up at Vizhinjam port, supported by incremental cargo volumes. This marks the third major collaboration between APSEZ and MSC following joint ventures at ports in Mundra (container terminal No. 3) and Ennore,” it said.

“Vizhinjam port has emerged as a premier transshipment hub and ramped up at an unprecedented pace, becoming the first Indian port to earn the unique distinction of crossing 2 million TEUs within 18 months of operations,” said Ashwani Gupta, Whole-time Director and Chief Executive Officer, APSEZ.

FULL REPORT ON
WWW.INDIANEXPRESS.COM